

Explore Microsoft Dynamics 365 Finance and Operations Together

Microsoft Dynamics 365

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Ledger Allocations in Microsoft Dynamics 365 Finance and Operations: Part-2

In the next part of allocation blog, I will try to explain one method of allocation which we left in last blog and also how you can perform ledger allocation in intercompany.

If you have missed my last blog, read it here:

<https://exploredynamics365.home.blog/2020/10/05/ledger-allocations-in-microsoft-dynamics-365-finance-and-operations-part-1/> (<https://exploredynamics365.home.blog/2020/10/05/ledger-allocations-in-microsoft-dynamics-365-finance-and-operations-part-1/>).

1. Basis Ledger allocation Method:

This allocation method is useful when you want to allocate amount based on another ledger actual amount.

So, let's understand from the scenario:

Let say we want to allocate salaries amount 6,000 from Finance department (1030) to two different departments 1001 and 1010 but on what basis??

So, we would like to allocate based on Sales contribution of these two departments 1001 and 1010, so let's say

Sales-1001 is 5000

Sales -1010 is 3000

So, total sales is 8000, 1001 has 62.5 % contribution and 1010 has 32.5% contribution. Now we would like to allocate salaries as well in same percentage.

Parameters

Filter

Total Revenue = 8,000
1001 Department contibution Percentage = 5000/8000 = 62.5%
1010 Department contibution percenatge = 3000/5000= 37.5 %

MainAccount	Department	Name	Opening ...	Debit	Credit	Closing balance
403000	1001	Sales - Additive-Corporate Strat...	0.00	0.00	5,000.00	-5,000.00
403000	1010	Sales - Additive-CORP ADMIN	0.00	0.00	3,000.00	-3,000.00

Standard view

Parameters

Filter

MainAccount	Department	Name	Opening bala...	Debit	Credit	Closing balance
710000	1030	Salaries-ACCOUNTING & FINAN...	294,533.55	6,000.00	0.00	300,533.55

So, lets see how we can achieve this:

Step-1: Create Basis rule for both department 1001 and 1010

General Ledger > Allocation> Basis rule > New > Define source

Save + New Delete Source Options

Ledger allocation basis

Standard view

Filter

Basis ID	Description	Effective date	Expiration date	Active	Date interval
BASIS-000001	Salary Expense basis	10/1/2020		☒	CM

Ledger allocation basis source | BASIS-000002 : SALARY EXPENSE BASIS-1010

Standard view

Filter

Basis for department 1010

Company	Field setting	Financial dimension	Source criteria
moc	Main account		403000
moc	Financial dimension	Department	1010

Standard view *  Filter

☐	Field setting	Financial dimension	Source criteria	
	Main account		403000	
☐	Financial dimension 	Department 	1001 	
	I			

Step-2: Create Allocation rule

General Ledger > Allocation > Ledger allocation rule > New > Select method as basis and enter other details

Ledger allocation ruleOverview **General** Offset

☐	Rule	Description	Effective date	Expiration date	Active	
☐	ALRULE-000001	Salary allocation			☒	

Ledger allocation ruleOverview **General** Offset

IDENTIFICATION Rule ALRULE-000... Description Salary allocation	ADMINISTRATION Effective date Expiration date Active ☒ Yes Date last run 	Intercompany rule ☐ No Allocation method Basis	JOURNAL SETTINGS Journal name ALC Description Allocation	SOURCE Data source Ledger Fixed value 0.00 Mathematical operation None Amount 0.00 Date interval code CM	DESTINATION Keep account from User specified Keep dimension from User specified
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Step-3: Create Source for Rule

Select Salary ledger and finance department code 1030

Save New Delete **Destination** Options

Ledger allocation rule source | ALRULE-000001 : SALARY ALLOCATION

Standard view Source to derive allocation amount

Filter

	Field setting	Name	Source criteria
☐	Financial dimension	Department	1030
	Main account		710000

Step-4: Create Destination

Select Basis rule as per “1010” and 1001”

Filter

moc
BASIS-000001

moc
BASIS-000001

This department will have 62.5 %

Ledger allocation rule destination | Standard view | ALRULE-000001 : SALARY ALLOCATION

Company: moc

Basis ID: BASIS-000001

Select Basis for the same destination deartment

This department had 37.5 % based on basis rule

Destination ledger account

TO ACCOUNT

To account: 710000

Ledger account: Salaries

TO FINANCIAL DIMENSIONS

Channel: No default

Customers: No default

Department: 1010

CORP ADMIN

Destination_State: No default

Step-5: Process allocation rule and view journal

General ledger > Allocations > Process allocation request



Process allocation request

Parameters



IDENTIFICATION

Rule

ALRULE-000001



Description

Salary allocation

Date last run

SELECTION CRITERIA

As of date

10/31/2020



Zero source

Process



Proposal options

Proposal only



POSTING

GL posting date

10/31/2020



Release date



REASON

Reason code



Reason comment

Run in the background



OK

Cancel

Journal voucher

Overview General History

+ New Delete Voucher Budget check errors or warnings

6000* 62.5% = 3750
6000*32.5% = 2250
as per basis rule and contribution to sale from these two departments

	Date	Voucher	Company	Account type	Account	Description	Debit	Credit	Currency	Exchange rate
	10/11/2020	JRNLBA-439...	moc	Ledger	710000-1001-----		3,750.00		USD	1.0000
	10/11/2020	JRNLBA-439...	moc	Ledger	710000-1010-----		2,250.00		USD	1.0000
	10/11/2020	JRNLBA-439...	moc	Ledger	710000-1030-AB-100---			6,000.00	USD	1.0000

2. Intercompany Ledger Allocation

Ledger allocation can be used for intercompany ledger allocation as well. Let's understand from one scenario:

Now, we want to allocate "salaries" of department 1030 from one Company A to Company B department 1010 and 1001, based on fixed percentage.

So, expected entry is:

Company A Salary – 1030 Credit 6,000

Company B salary -1010 Debit 4800

Company B Salary – 1001 Debit 1200

Step-1: Create allocation rule

Mark rule as "Intercompany rule"

Standard view

Ledger allocation rule

Overview General Offset

IDENTIFICATION

Rule: ALRULE-000...

Description: Intercompany - salary allocation

ADMINISTRATION

Effective date: 10/1/2020

Expiration date:

Active: ☒ Yes

Date last run:

JOURNAL SETTINGS

Journal name: ALC

Description: Allocation

SOURCE

Data source: Ledger

Fixed value: 0.00

Mathematical operation: None

Amount: 0.00

Date interval code:

DESTINATION

Keep account from: User specified

Keep dimension from: User specified

Intercompany rule: ☒ Yes

Allocation method: Fixed percentage

Step-2: Create Source

Save + New Delete Destination Options

Ledger allocation rule source | ALRULE-000002 : INTERCOMPANY - SALARY ALLOCATION

Standard view

Filter

	Field setting	Name	Source criteria
	Financial dimension	Department	1030
✓	Main account		710000

Step-3: Create Destination where amount should be allocated

Here you get the option to select destination company.

Save + New Delete Source Options

Ledger allocation rule destination | Standard view | ALRULE-000002 : INTERCOMPANY - SALARY ALLOCATION

Filter

MCU
20.00

MCU
80.00

Company	Fixed percentage	Percentage in total
MCU	80.00	100.00

Here you can select other company and allocate percentage accordingly

Destination ledger account

TO ACCOUNT

To account: 710000
Ledger account: Salaries

TO FINANCIAL DIMENSIONS

Channel: No default

Customers: No default

Department: 1010
CORP ADMIN

Destination_State

Step-4: Process request and review Entries

Process allocation request

Parameters

IDENTIFICATION

Rule

ALRULE-000002

Description

Intercompany - salary allocation

Date last run

POSTING

GL posting date

10/31/2020

Release date

REASON

Reason code

Reason comment

SELECTION CRITERIA

As of date

10/11/2020

Zero source

Process

Proposal options

Proposal only

Run in the background

[Recurrence](#) [Alerts](#)

OK

Cancel

Journal voucher

Overview General History

+ New Delete Voucher Budget check errors or warnings

	Date	Voucher	Company	Account type	Account	Description	Debit	Credit	Currency
	10/31/2020	JRNLBA-439.	MCU	Ledger	710000-1010-----		4,800.00		USD
	10/31/2020	JRNLBA-439.	MCU	Ledger	710000-1001-----		1,200.00		USD
	10/31/2020	JRNLBA-439.	mc	Ledger	710000-1030-AB-100---			6,000.00	USD

That's it for this blog, hope this will help you to use this process in implementation.

Thank You!!! Keep reading sharing

GENERAL LEDGER

#GENERALLEDGER ALLOCATIONS D365 D365FO
 D365INCOMETAXACT DYNAMICS DYNAMICS365
 GENERALLEDGER INTE LOCATION
 LEDGERALLOCATION



Published by Saurabh Bharti

As a recognized Microsoft Valuation Professional (MVP), specializing in Microsoft Dynamics 365 Finance and Operations, I bring over a decade of diversified experience across multiple industries. Throughout my career, I have honed my skills in delivering innovative solutions and successfully navigating Dynamics 365 implementations. With a passion for sharing knowledge, I actively contribute to the Microsoft Dynamics community through insightful blogs and engaging YouTube content. By disseminating valuable insights, best practices, and real-world experiences, I have established myself as a trusted source within the community. Whether I'm immersed in hands-on projects or sharing insights online, my aim is to empower individuals and organizations with the necessary knowledge and skills to excel in the dynamic realm of Microsoft Dynamics 365 Finance and Operations. I invite you to join me on this rewarding journey of continuous learning and collaboration! [View all posts by Saurabh Bharti](#)

2 comments

1. RACHEL CARNEY says:

AUGUST 10, 2022 AT 2:39 AM

How can I get my dimensions to follow the source. I'm trying to move transactions from one company and set of dims to another company and account...but want the same dimensions.

REPLY

- **Saurabh Bharti** says:

AUGUST 11, 2022 AT 12:36 PM

On rule itself we have tab offset, there we can choose what should be account and dimensions.

REPLY

[Blog at WordPress.com.](https://exploredynamics365.home.blog/2020/10/11/ledger-allocations-in-microsoft-dynamics-365-finance-and-operations-part-2/)